

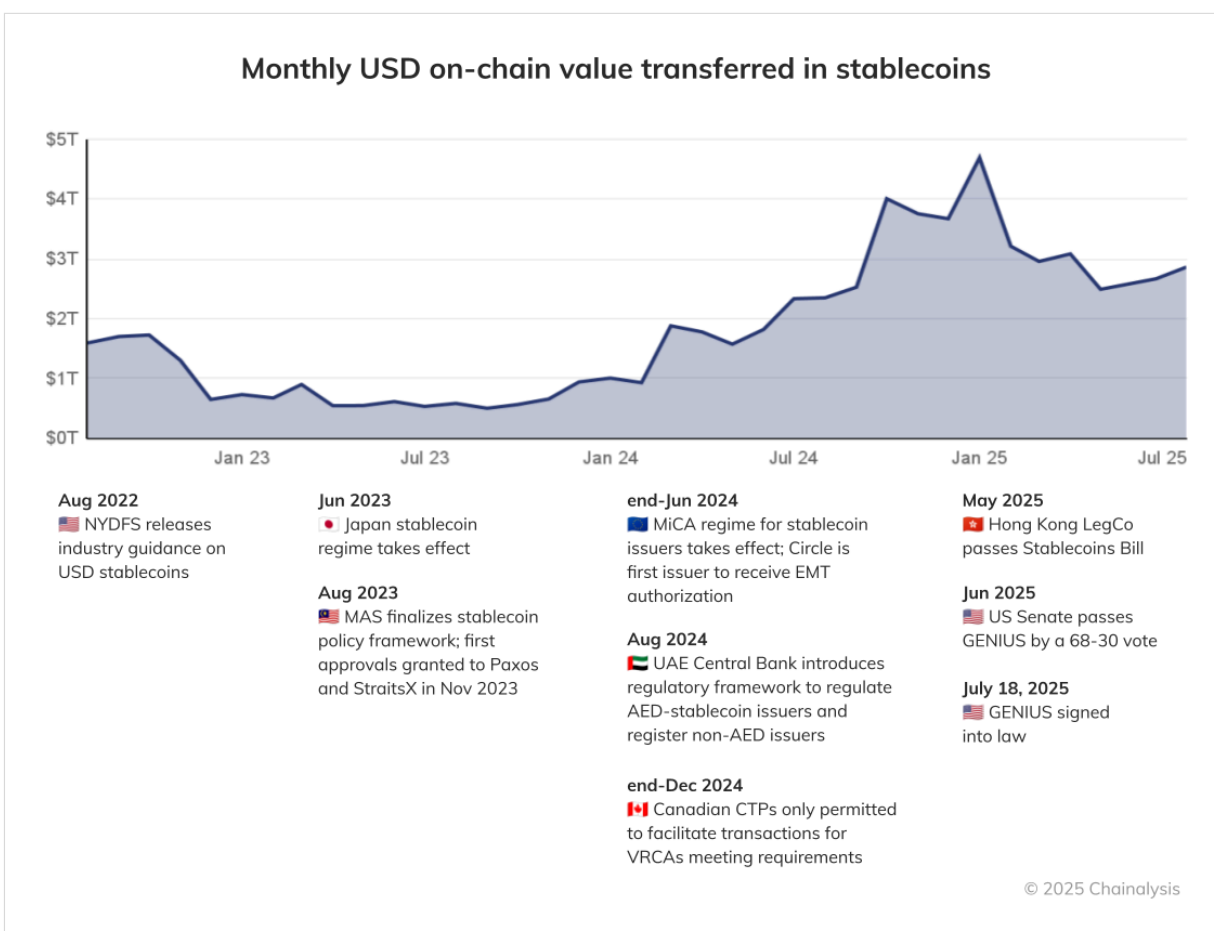
The Road to Crypto Regulation

Part 2: Stablecoins at the Crossroads of Financial Services and Crypto



Paving the way to new financial rails

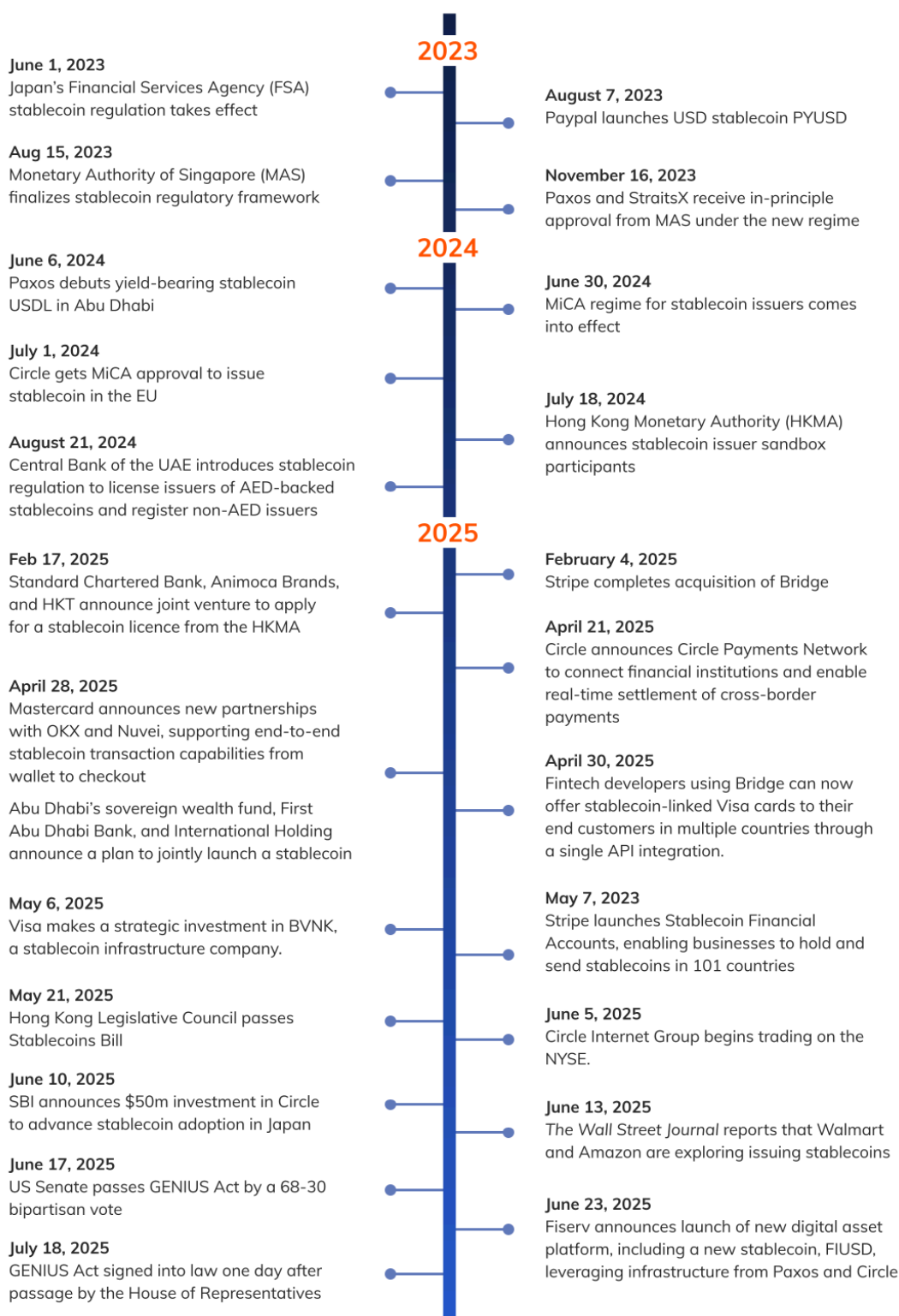
The trajectory of stablecoins — cryptocurrencies whose value is pegged to another asset, most commonly a fiat currency — is at an inflection point. Already, stablecoins account for trillions of dollars in on-chain value transferred each month. But the broadening interest in this asset stems not from their foundational role in crypto markets, but from their potential to solve persistent real-world inefficiencies.



Today, cross-border payments remain slow, costly, and exclusionary — especially for the most vulnerable populations. Financial markets, meanwhile, continue to be held back by fragmented trading and settlement infrastructure, a lack of interoperability across systems, and a reliance on manual processes.

Programmable and intrinsically borderless, stablecoins offer an opportunity to make finance work better for consumers and businesses through streamlined settlement, reduced reliance on legacy intermediaries, and lower transaction costs. More broadly, they are emerging as foundational infrastructure for next-generation financial products, from on-chain repo markets to programmable treasury instruments. It's unsurprising, then, that interest from both crypto-native and traditional financial businesses has been accelerating (see timeline on next page).

Timeline of stablecoin developments — accelerating TradFi/FinTech interest



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Regulation will chart the course for the next phase of stablecoin markets

Economic incentives have shaped today's stablecoin landscape. Within digital asset markets, adoption has been driven by the need for trading and hedging instruments. Beyond these markets, stablecoins have gained traction where they help address **financial access and economic instability challenges**. Issuers have gravitated to business models that are scalable and profitable. The result has been a market dominated by fiat-backed, USD-denominated stablecoins.

Regulation will define the next phase of the stablecoin journey. Stablecoins are now on the agenda of international organizations, from the Financial Stability Board to the Financial Action Task Force, and national regulators are in the early stages of creating and rolling out domestic regimes. These rules will significantly impact issuers' business models, including where new issuers emerge and where existing issuers distribute their assets. They will determine whether new local currency stablecoins emerge to add diversity and enable FX use cases. Additionally, they will set the bar for the tools and systems that issuers will need to demonstrate compliance. In short, they will fundamentally shape the next phase of the stablecoin market's evolution.

Below, we examine the landscape of stablecoin regulation and emerging challenges faced by issuers. We then consider the next phase of regulatory development and discuss how on-chain tools can support stablecoin issuers in meeting evolving regulatory demands.

Stablecoin regulation: Where are we today, and what are the challenges on the road ahead?

Where we are today: A strong focus on value stability

Regulators began studying stablecoins in earnest with the announcement of the Libra project in 2019. While that project never came to fruition, policy momentum kicked again into gear following the collapse of Terra/Luna in 2022. The Financial Stability Board (FSB) updated its high-level recommendations for stablecoin regulation in July 2023, and some early-mover regulators have enacted stablecoin regulatory frameworks in the two years since.

As of July 2025, stablecoin issuer regulation is either fully or partially in force in 11 of our top 25 jurisdictions. These jurisdictions collectively accounted for 38% of total crypto value received in 2024. Notably, the majority of jurisdictions that have implemented or proposed these rules are advanced economies. In contrast, most emerging markets within this top 25 have yet to propose stablecoin regulation, a notable trend given that these jurisdictions are where stablecoins may find the most grassroots traction.

Top 20 Jurisdictions by Value Received in 2024 (and additional hub jurisdictions)

Interpretation: ● Rules fully in force ● Rules partially in force ● Rules proposed ● No rules

1. ● United States	11. ● Vietnam	Additional hub jurisdictions
2. ● United Kingdom	12. ● France	● Australia
3. ● Russia	13. ● Argentina	● Nigeria
4. ● Indonesia	14. ● Brazil	● Singapore
5. ● India	15. ● Hong Kong	● UAE
6. ● Turkiye	16. ● Netherlands	● South Africa
7. ● South Korea	17. ● Spain	
8. ● Germany	18. ● Japan	
9. ● Canada	19. ● Poland	
10. ● Ukraine	20. ● Mexico	

From a policy perspective, the risks posed by stablecoins are not novel. However, their scale highlights the need to ensure they are used responsibly and closely monitored. Baseline concerns include value stability and financial integrity; however, as stablecoins become large enough to impact the broader financial system, concerns related to monetary policy and financial stability become significant.

Risks posed by stablecoins

- **Consumer protection:** Stablecoins may fail to maintain their peg, exposing holders to loss. Stablecoin holders may lack clear legal rights or protections, particularly in cases of issuer insolvency or operational failure. Misleading claims about asset backing, redemption rights, or custodial practices can create consumer harm.
- **Financial integrity:** Like other forms of value, stablecoins can be abused to facilitate illicit finance, including money laundering, terrorism financing, and sanctions evasion. Risks grow as stablecoins scale.
- **Monetary policy:** Widespread substitution of commercial bank deposits with stablecoins can, in some situations, reduce banks' capacity to extend credit, weakening monetary policy transmission. Additionally, the use of stablecoins pegged to foreign currencies can contribute to currency substitution, undermining domestic monetary sovereignty and policy effectiveness.

- **Financial stability:** A sudden loss of confidence in a widely used stablecoin could trigger rapid, large-scale redemptions, or “runs,” potentially forcing asset fire sales by issuers and causing contagion across financial markets.

Thus far, national frameworks have primarily centered on consumer protection — building safeguards that support confidence in stablecoins. Therefore, they tend to have similar focus areas. The FSB’s recommendations on stablecoin regulation have helped guide this alignment.

- **Regulatory regimes generally cover single-currency fiat-referenced stablecoins,** although some, such as the EU’s MiCA, also provide for stablecoins referencing other types of assets. They impose licensing requirements on stablecoin issuers, and in many cases, stablecoin offerers (or ‘distributors’) as well.
- **The primary emphasis is on value stability.** Fiat-referenced stablecoins are generally required to be fully backed by high-quality reserves (i.e., their value does not fluctuate excessively) and have high liquidity (i.e., can be sold rapidly to meet redemption demand), thereby limiting risk. Algorithmic stabilization mechanisms are not typically accepted. Reserves typically must be segregated from operational assets and held in a bankruptcy-remote structure.
- **Redemption rights.** Issuers are typically required to guarantee redemption of fiat-referenced tokens at par value, within specified timeframes.
- **Prohibitions on interest payments.** In most jurisdictions (e.g., Hong Kong, the EU, and the US’s GENIUS Act), stablecoin issuers are prohibited from paying interest or other financial incentives to holders of stablecoins. This reduces the risk of large-scale substitution from bank deposits into stablecoins, which could weaken banks’ funding bases and impair credit creation. One exception is Abu Dhabi Global Markets’ FSRA, which in 2024 approved Paxos International’s issuance of the Lift Dollar (USDL), a yield-bearing stablecoin.

Comparison: Requirements on Stablecoin Reserve Composition

Japan: Trust company issuers have been required to hold reserve assets fully in the form of domestic bank deposits; legislative amendments proposed in 2025 allow certain issuers to hold up to 50% of their reserves in low-risk assets, such as government bonds or term deposits.

European Union: 100% backing is required in high-quality, highly liquid assets, such as bank deposits, short-term government debt, and money market instruments. EMTs (single fiat) must hold at least 30% of reserves as bank deposits; ARTs (multi-asset) must keep all reserves legally segregated under custody rules.

Hong Kong (draft guidelines): Bank deposits with a term of ≤ 3 months, high-quality marketable debt securities issued by governments, central banks, and other qualified agencies, with residual maturity ≤ 1 year; overnight repos; and other types of assets deemed acceptable to HKMA. Reserve assets should be denominated in the stablecoin's reference currency. However, HKMA can grant flexibility on a case-by-case basis, particularly in the use of USD reserve assets to back HKD stablecoins.

United Kingdom: For UK-issued stablecoins, at least 5% must be held in on-demand deposits, and the remaining 95% can be made up of bank deposits and short-term government bonds. These are deemed “core backing assets”. With FCA approval, a share of the reserves can be in “expanded backing assets” including longer-term government bonds, CNAV MMFs, and repo assets. These are subject to a liquidity/risk framework that caps and monitors exposure.

The global tailwind: GENIUS

There is no jurisdiction in which the development of stablecoin regulation is more closely watched than the United States.

In July 2025, building on bipartisan efforts, long-awaited legislation to regulate stablecoin issuers took effect with the passage of the GENIUS (Guiding and Establishing National Innovation for US Stablecoins) Act. Like other national regulations, the GENIUS Act stipulates that stablecoins must be fully backed by a basket of high-quality, liquid assets; provide for timely redemption and appropriate disclosures; and prohibit the payment of yield. The GENIUS Act also classifies stablecoin issuers as financial institutions under the Bank Secrecy Act, subjecting them to full AML/CFT requirements. The Act remains high-level, and more detailed rules and guidance will need to be issued by regulators.

While laying out the federal regulatory regime, the GENIUS Act also permits smaller issuers (with a market capitalization of less than \$10 billion) to opt for regulation under a comparable state-level regime. Federal oversight will be mandatory for larger issuers.

The GENIUS Act is a significant milestone for the United States. Federal stablecoin legislation will provide regulatory clarity for today's major stablecoins — all USD-denominated — and a route for financial

institutions, corporates, and crypto firms to enter the space, whether as issuers or orchestrators. It may also amplify the impetus for other countries to move forward with their national frameworks.

Challenges as national frameworks emerge

The regulatory work underway is crucial for issuers seeking to scale their business — licensing can be a significant affirmation of an issuer's risk management protocols, and hence a key driver of market confidence. Nonetheless, the current regulatory landscape creates specific challenges for issuers.

Challenge 1: Differences in stringency

While directionally similar, national regimes differ in stringency, and seemingly small differences can have a significant impact on commercial viability. For instance:

- Rules on reserve composition can directly affect an issuer's profitability. Higher cash requirements reduce the room for yield-bearing assets, which can impact the commercial viability of any stablecoin business.
- Rules on redemption timelines can have operational and prudential implications, particularly where there are surges in redemptions. In Hong Kong, redemption requests must be met within one business day; similarly, proposed rules in the UK mandate redemption at par by the next business day after the request. These are significantly stricter than the five business day timeline in Singapore.

Challenge 2: Jurisdiction-specific features

In some cases, national regimes include distinct policy features that issuers should note.

- **One key distinction is in the treatment of stablecoins from issuers not regulated in the jurisdiction.**
 - Some jurisdictions like Singapore and the UK (under proposed rules) would not regulate stablecoins issued overseas, but would permit them to be offered for trading, similarly to other crypto-assets.
 - Others, like the EU and Japan, allow distribution but impose additional strict requirements. For instance, EU CASPs offering stablecoins from non-MiCA licensed issuers are required to assume certain issuer-related obligations, e.g. availability of a whitepaper and relevant disclosures. Japan requires foreign-issued stablecoins to be regulated under similar standards, and listers would be required to hold reserves to meet client claims should the issuer become insolvent. Under GENIUS, foreign issuers would need to be regulated under a comparable regime in order to issue stablecoins within the United States.
 - Conversely, Hong Kong's retail market is restricted to locally regulated stablecoins.
- **In some jurisdictions, stablecoin regulations overlap with existing financial product frameworks.** Stablecoins are typically treated as a payment instrument under bespoke regulation (e.g., UK and HK). But under MiCA, EMTs are dual-classified as crypto-asset and 'traditional' e-money, meaning some traditional payment services rules like security and fraud monitoring may also apply, and some CAPSs might need both a MiCA licence and a traditional payment services licence to provide services in EMTs. In Canada, value-referenced crypto-assets are regulated under

existing securities laws. In Japan, the JFSA has expressed caution regarding banks issuing stablecoins on permissionless blockchains, referencing the Basel Committee's [concerns](#).

- **Currency-based requirements.** Some frameworks include additional measures for domestic currency or non-domestic currency stablecoins. For instance, Hong Kong's Stablecoin Ordinance would regulate the issuance of HKD-pegged stablecoins wherever in the world they are issued, while MiCA has additional restrictions on stablecoins pegged to non-EU currencies, as outlined below.

Case study: MiCA's restrictions on stablecoins pegged to non-EU currencies

Under MiCA, there are no issuance caps on electronic money tokens (EMTs, i.e., single-currency-referenced stablecoins) denominated in an official EU currency. However, MiCA-licensed issuers of asset-referenced tokens (ART) and non-EU currency-denominated EMTs are required to stop issuing tokens once they surpass:

- EUR 200 million in daily transactions in which the ART or EMT is used as a means of exchange; or
- 1 million transactions daily within a single currency area within the EU (i.e., the Euro or the Swedish Krona area).

These restrictions appear to be aimed at ensuring that EU currencies remain the primary unit of exchange within their respective currency areas. However, their effectiveness in capping the usage of foreign currency stablecoins has yet to be tested.

Indeed, the restrictions may be challenging to operationalize, as neither the velocity of stablecoin circulation in a geographical area nor the purpose of the transactions is directly within an issuer's control.

Nonetheless, they send a signal of policy intent and can incentivize domestic currency stablecoin issuance. This is reflected in the number of MiCA-authorized EMT issuers to date. As of mid-July 2025, Europe has 14 licensed issuers collectively authorized to issue 21 EMTs — 12 denominated in euros, 7 in US dollars, and one each in British pounds and Czech koruna.

Challenge 3: Regulatory fragmentation

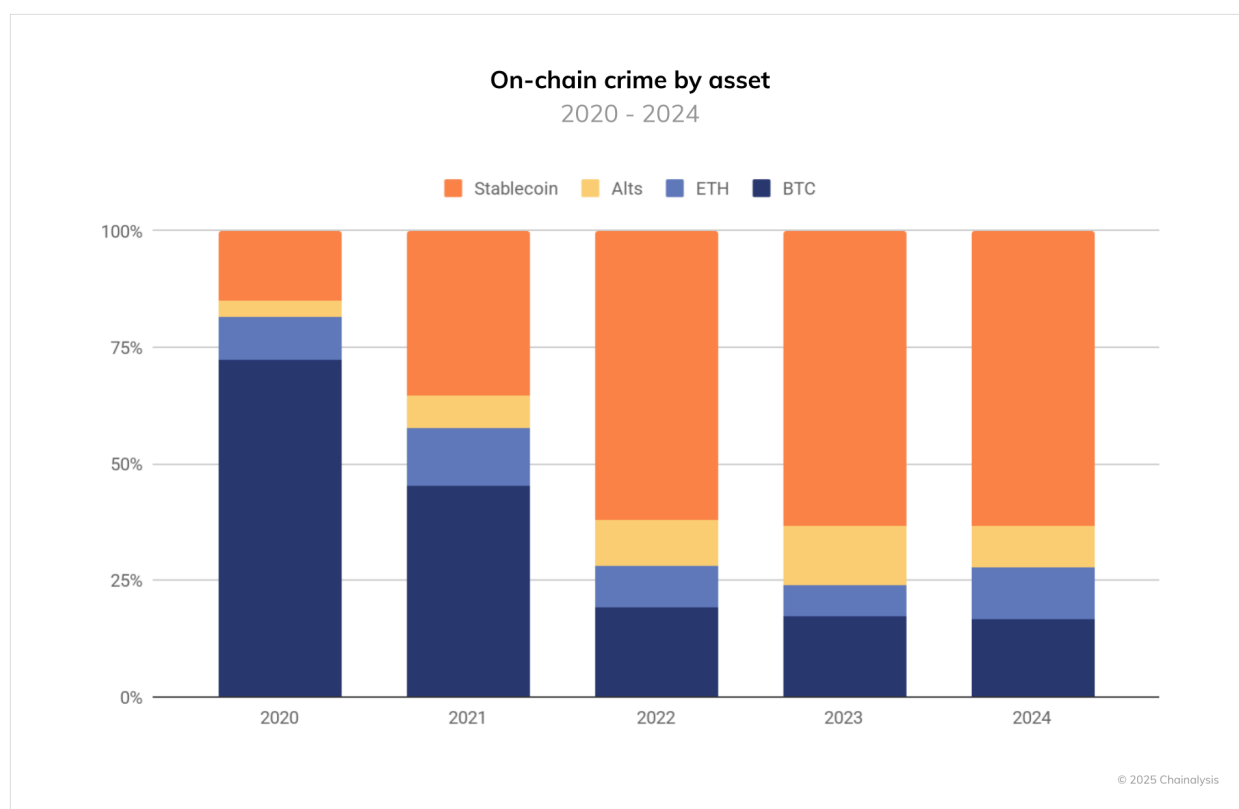
Stablecoin issuers often operate globally, offering tokens that can be traded, redeemed, and used in multiple jurisdictions. However, they face a patchwork of national regimes, with varying rules on reserve backing, licensing, consumer protection, and custody.

This creates legal uncertainty and operational complexity, particularly when requirements conflict. For example, a hypothetical issuer active in both the EU and Japan would have to comply with MiCA's mandate to hold reserves with EU-authorized custodians, as well as the Japanese requirement for stablecoin reserves to be held onshore in domestic bank deposits or approved low-risk instruments. Such mismatches limit the ability to manage reserves efficiently across borders, increasing compliance costs.

Regulatory approaches to address cross-border fragmentation are still in their early stages of development. As more national regimes come into effect, there are growing calls for **passporting** or **mutual recognition**, which would allow a licensed issuer in one jurisdiction to operate in others. While attractive in principle, these arrangements are challenging to implement, requiring not only aligned rules but consistent enforcement standards. Where such frameworks do emerge, they will need to be supported by cross-border supervisory cooperation to avoid regulatory gaps, reduce duplication, and limit the cost to industry where possible.

The next crossroads for stablecoin regulation: financial integrity

The characteristics that make stablecoins appealing as a means of payment also make them appealing for moving illicit funds. Since 2022, the majority of illicit crypto flows has also been denominated in stablecoins. This is an unfortunate by-product of growing real-world stablecoin usage, and it is an inhibitor to scale. Policymakers and financial institutions will remain cautious about the usage of stablecoins unless reputational and regulatory risks can be managed.



AML/CFT rules are generally imposed on intermediaries, less so on asset issuers. Nonetheless, the Financial Action Task Force opined in 2020 that existing AML/CFT standards cover stablecoins. Applying traditional AML/CFT practices would mean that issuers must:

- Assess the financial integrity risks arising from their business activities, and develop controls to mitigate them;

- Conduct due diligence on new institutional partners, exchanges, or liquidity providers at onboarding and on an ongoing basis; and
- Monitor transactions in which they are a direct counterparty, including through Know Your Transaction (KYT) processes.

In the fiat realm, the issuer's field of vision would end with its direct counterparties, and so would its AML/CFT toolkit. However, public blockchains offer issuers unprecedented visibility over every token transfer, even when they are neither the sender nor the recipient of the transaction. This information enables new risk management tools, including **monitoring trends in illicit usage over time, investigating and reporting suspicious activity** in the secondary market, and **proactively blacklisting addresses and freezing funds** where warranted.

Traditional / Fiat View	Blockchain / Ecosystem View
KYC for direct counterparties only	Full view of the ecosystem
Periodic review of counterparties and transactions	Real-time monitoring and action
No visibility or ability to respond to secondary market activity	Ability to take a proactive approach to preventing illicit activity

Policymakers are recognizing these new opportunities.

- In the United States, the President's Working Group on Digital Asset Markets released its recommendations on July 30, 2025, noting that "many issuers also use blockchain analytics to identify risks in the stablecoin ecosystem and can use that information to freeze tokens when warranted".
- Also in July, the Japan Financial Services Agency published its Analysis on the Healthy Development of Stablecoins, emphasising the need for the stablecoin ecosystem to strengthen real-time countermeasures against illicit usage.
- The Hong Kong Monetary Authority's AML/CFT guidelines for stablecoin issuers calls for licensees to adopt risk mitigation measures such as using blockchain analytics tools to "screen stablecoin transactions and associated wallet addresses beyond the primary distribution venue on an ongoing basis", while noting that usage of these tools is at an early stage.

Case study: HKMA's AML/CFT rules for stablecoin issuers

Hong Kong's Stablecoins Ordinance took effect on August 1, 2025. The Hong Kong Monetary Authority's AML/CFT guidelines for issuers set out detailed expectations, which include:

- Due diligence with direct counterparties in the issuance and redemption process, with additional risk mitigation measures where the counterparty is an unhosted wallet.
- Ongoing monitoring of customer relationships as well as transaction monitoring. The latter includes the use of blockchain analytics to track the source and destination of issued and redeemed stablecoins, and to identify transactions involving wallet addresses that are directly or indirectly associated with illicit or sanctioned sources.
- Additional risk mitigation measures, which can include the use of blockchain analytics to “screen stablecoin transactions and wallet addresses beyond the primary distribution venue on an ongoing basis”, blacklisting of sanctioned or illicit wallet addresses, and prompt response to regulators, law enforcement, or court-ordered freeze requests.
- Travel rule requirements, with specific obligations dependent on the specific role of the issuer in a stablecoin transfer.

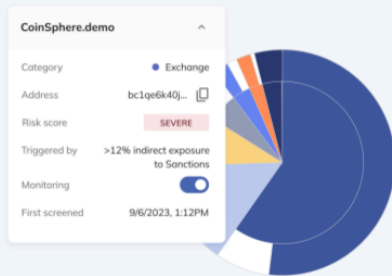
Hong Kong's AML guidelines set an important precedent in global stablecoin regulation, leveraging features of the blockchain to enhance risk management processes and outcomes.

In the meantime, leading issuers are already moving ahead to adopt asset intelligence tools. In 2024, Tether, the largest stablecoin issuer, [collaborated with Chainalysis](#) to develop a customisable solution for monitoring secondary market activity and has been involved in high-profile freezes.

How on-chain data supports issuers

Empowering issuers to meet AML/CFT standards

Chainalysis' suite of compliance tools, built on its world-leading data platform, positions issuers to meet compliance demands and respond to illicit activity.



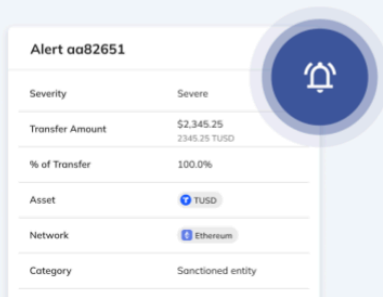
Due diligence on direct counterparties

Through Chainalysis' VASP risking and address screening tools, issuers can obtain a fast, accurate, and comprehensive view of a counterparty's on-chain exposure. Continuous monitoring eliminates the need for periodic re-screening, with issuers receiving automatic notifications when a VASP's risk score changes.



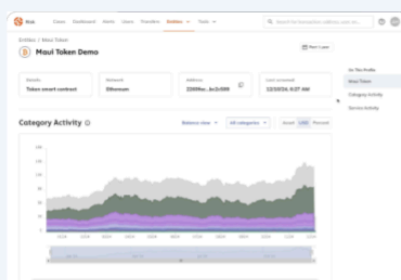
Enhanced due diligence

Where needed, issuers can conduct enhanced due diligence on a counterparty VASP using Chainalysis Reactor, providing an industry-leading ability to trace funds from source to destination, analyze crypto activity, and map crypto relationships to identify key questions and insights.



Monitoring issuance and redemption transactions

With Chainalysis KYT, issuers can trace the source and destination of mint and redeem transactions, maintaining continuous oversight and receiving real-time alerts for swift mitigation of suspicious activity.



Analyzing historical token ecosystem activity

Chainalysis Sentinel enables issuers to gain a comprehensive view of their token's ecosystem. Assess historical activity by category and service, spot trends, review holders and overall circulation over the lifecycle of the token, and export addresses to take possible action, such as freezing funds held by identified addresses.

Actionable intelligence and streamlined workflows

The combination of Chainalysis tools provides actionable insights to enable practical risk mitigation measures. For instance, a stablecoin issuer could:

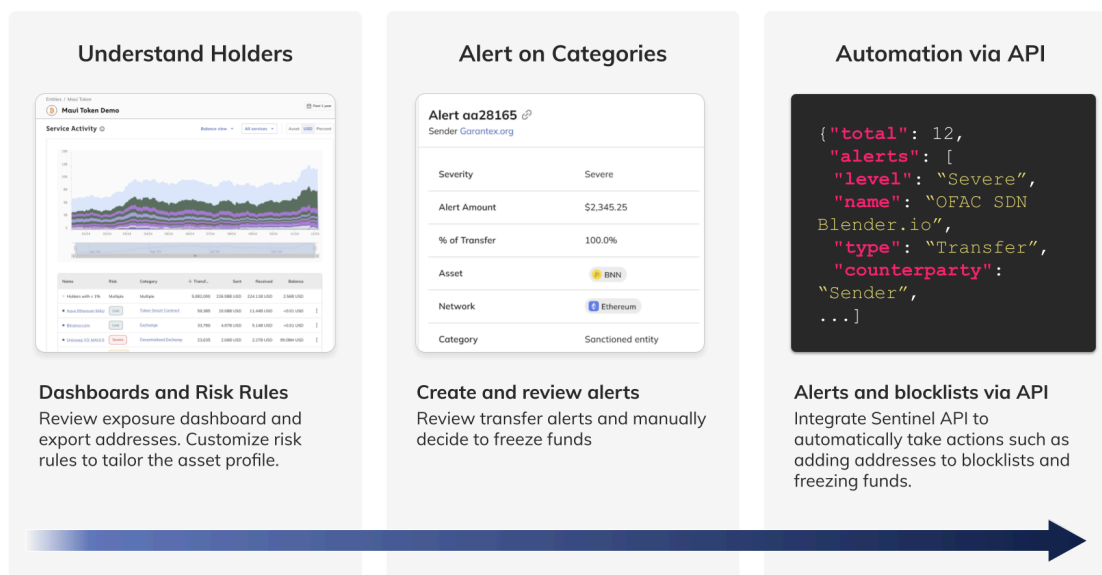
1. Receive an alert, based on its customized risk settings, when its token is transferred to an address controlled by a criminal actor;
2. Proactively freeze the token and add the address to its blocklist;
3. Investigate and file a suspicious activity report with the authorities;
4. Trace the path of the token back from the criminal wallet to the exchange or institutional partner that distributed it;
5. Consider additional risk mitigants, such as reviewing the risk profile of the direct counterparty and considering whether to continue the business relationship.

Scaling risk management

The approach that an issuer takes to ecosystem monitoring may vary based on the size and complexity of their business. Sentinel enables issuers to scale their risk management approach, whether they require:

- Periodic review and analysis of historical trends through dashboards;
- Customised transfer alerts, which can enable reporting and manual fund freezing
- API integration to enable automated intervention, such as blocklisting addresses and freezing funds.

A “crawl-walk-run” approach



Appendix: Stablecoin Regulation in Top 25 Jurisdictions

Top 20 countries by value received

Legend: ● Rules fully in force; ● Rules partially in force; ● Regulation proposed; ● No rules

Jurisdictions	Status of stablecoin regulation as of June 2025	
1. United States	●	The GENIUS Act was signed into law on 18 July 2025. GENIUS provides for a tiered approach with larger stablecoins subject to federal supervision, while smaller ones can opt for state oversight. The law also includes licensing requirements, reserve requirements (high quality; rehypothecation restrictions), transparency requirements (audits, disclosure of reserve composition), compliance with BSA AML requirements and other elements like interest prohibitions. While the GENIUS Act is an important milestone, more detailed rules will need to be developed at the regulatory level. Among the states, the NYDFS was the first state authority to issue formal rules for issuers. Other states like Wyoming, Texas, Nebraska and California have all explored their own framework. In California, the Digital Financial Assets Law was passed and will take effect in July 2026. From then on, only licensed issuers' tokens can be exchanged, custodied, or traded in the state.
2. United Kingdom	●	No stablecoin-specific legislation is currently in force, but it is under development. In April 2025, HM Treasury issued final amendments to core legislation that would create new regulated activities for cryptoassets (including the issuance of fiat-backed stablecoins), bringing them within the regulatory perimeter. Simultaneously, the FCA launched a consultation process on the rules and guidance for stablecoin issuers. Under current proposals, qualifying stablecoins must be backed with secure liquid assets.
3. Russia	●	No stablecoin-specific legislation in force or proposed yet. Russian regulators have adopted restrictions on the domestic use of crypto, but have been actively exploring how to use cryptoassets for international financial connectivity amid tightening sanctions. Reportedly, this includes potential exploration of stablecoin issuance, including in rubles or other BRICS currencies.
4. Indonesia	●	No stablecoin-specific legislation in force or proposed yet. In January 2025, the Indonesian Financial Services Authority (OJK) assumed responsibility for crypto regulation, taking over from the Commodity Futures Trading Regulatory Agency (Bappebti). The OJK is expected to build on the Bappebti framework; however, at present, crypto regulation is primarily centered on intermediaries.
5. India	●	No stablecoin-specific legislation in force or proposed yet. India has not yet implemented a framework for regulating crypto intermediaries or assets beyond AML/CFT requirements.
6. Türkiye	●	No legislation in force or proposed yet for stablecoin issuers. In June 2025, Turkish policymakers announced daily and monthly limits on stablecoin transfers, likely aimed at curbing illicit and disorderly flows.
7. South Korea	●	No stablecoin regime currently in force, but legislation is being discussed in the National Assembly with proposals put forward by both ruling and opposition parties. Both proposals designate the Financial Services Commission as lead regulator, and cover capital requirements, reserve assets and redemption obligations. The Value-Stabilised Assets Act put forward by the ruling Democratic Party also explicitly prohibits interest payments to holders and grants oversight powers to the Bank of Korea.

8. Germany	●	See “European Union”
9. Canada	●	In October 2023, the Canadian Securities Administrators (CSA) announced interim rules for crypto trading platforms (CTPs) facilitating trading of Value-Referenced Crypto Assets (VRCAs), their term for stablecoins. By December 2024, CTPs would only be permitted to offer VRCAs from issuers that comply with the rules set by the CSA. The VRCAs must be pegged to the C\$ or US\$, and requirements cover prospectus filing, audits, par redemption, reserves and disclosures. Uniquely, Canada’s approach treats the transfer of fiat-backed stablecoins not as a regulated payment function but instead as a securities activity. To date, only USDC has met the conditions to be offered by CTPs in Canada.
10. Ukraine	●	The Virtual Asset Law adopted in February 2022 introduces the concept of financial virtual assets, including currency-backed tokens i.e. stablecoins. The Virtual Asset Law has not yet been implemented due to delays in accompanying amendments to tax legislation.
11. Vietnam	●	No stablecoin-specific legislation in force or proposed yet In June 2025, the Law on Digital Technology industry (DTL) was passed, establishing a regulatory framework for digital assets (defining two categories, virtual assets and crypto assets). However, stablecoins remain outside of the scope of these definitions, and the framework.
12. France	●	See “European Union”
13. Argentina	●	No stablecoin-specific legislation is currently in force, but it is under development. In March 2025, the National Securities Commission (CNV) established a regulatory framework for cryptoasset firms (PSAVs), which will be implemented in full by September 2025. This framework primarily establishes AML/CFT and cybersecurity standards for intermediaries, such as exchanges and custodians. It is expected that a more comprehensive framework will be developed, covering stablecoins and providing further technical guidelines on custody standards, capital requirements, audits, and conduct rules.
14. Brazil	●	No stablecoin-specific legislation in force. Rules to regulate stablecoin usage are in development, but not to regulate issuers. In 2024, the Banco Central do Brasil (BCB) consulted on plans to prevent Brazilian users from transferring foreign currency stablecoins to personal wallets, along with other crypto FX restrictions. This will bring stablecoins and digital assets inside their existing domestic payments regime. The BCB is considering feedback and is expected to finalise its expectations towards the end of 2025.
15. Hong Kong	●	Stablecoin Ordinance took effect in August 2025. The legislation focuses on fiat-referenced tokens tied to the Hong Kong Dollar (HKD), and the Hong Kong Monetary Authority (HKMA) is the primary regulator. HKMA has issued detailed guidelines on licensing, reserves and AML/CFT requirements for issuers.
16. Netherlands	●	See “European Union”
17. Spain	●	See “European Union”
18. Japan	●	Since 2023, stablecoins have been regulated under the Payment Services Act. Under this, stablecoins are regulated as Electronic Payment Instruments (EPIs), around which there are rules on their issuance, compliance with AML/CFT, clear redemption rights for users, and both holding and transfer limits. Importantly, EPIs can only be issued by licensed banks, fund transfer services providers, or trust companies.
19. Poland	●	See “European Union”

20. Mexico	●	No stablecoin-specific legislation in force or proposed yet The Fintech Law was amended by Rule 4/2019 to include provisions related to virtual assets, but none of these explicitly cover stablecoins or their issuers. There have been interpretations by the country's authorities that consider stablecoin issuance and its commercialization a reserved activity for financial entities and therefore potentially in scope; however, this remains reserved for unofficial, non-legally binding communiques.
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Other digital asset hubs

Australia	●	No specific legislation to regulate stablecoin issuers is yet in force. In March 2025, Treasury reaffirmed its intention to bring stablecoins within the stored value facility regime, to be supervised by APRA.
Nigeria	●	No stablecoin-specific legislation in force or proposed yet. In 2024, the SEC made amendments to the Rules on Digital Asset Issuance, Offering Platforms, Exchanges, and Custody that took effect in June 2025. While this framework includes a definition of stablecoins and represents an important shift from outright bans to structured oversight of the sector more broadly, it does not provide any further explicit requirements. We can likely expect something additional on stablecoins and stablecoin issuers, given the focus of Nigerian authorities on issues around capital flight.
Singapore	●	The policy framework for stablecoin regulation has been finalised, but has not yet been translated into draft legislation. Nonetheless, two issuers, StraitsX and Paxos, have already been recognized as substantially meeting the planned regulatory requirements in respect of locally issued stablecoins.
UAE	●	Since August 2024, stablecoins have been regulated under the Payment Token Services regulation by the Central Bank of the UAE. Issuers will need to obtain a licence to be permitted to issue Dirham-backed stablecoins in the UAE, and foreign issuers will also need a licence to issue stablecoins backed by foreign currencies. This unified framework approach largely, but not fully, replaces the previous set of overlapping requirements and guidance for stablecoins between DFSA, VARA, and the FSRA. The DFSA, for example, introduced additional criteria for recognizing stablecoins for use in the Dubai International Financial Centre (DIFC), permitting non-Dirham backed stablecoins issued in overseas jurisdictions to be recognised further to an application.
South Africa	●	No stablecoin-specific legislation in force or proposed yet. Since 2022, virtual assets and firms have been regulated under the Financial Intermediary and Advisory Services (FIAS) Act extending existing financial frameworks to cover the assets, entities, and activities. Stablecoins are not included in the definitions of cryptoassets laid out in the FAIS Act and they are neither explicitly regulated nor prohibited.
European Union	●	Since June 2024, stablecoins have been regulated under the MiCA (Markets in Crypto-Assets) framework as either Electronic-Money Tokens (EMTs), which reference a single official currency or Asset-Referenced Tokens (ARTs), which can reference multiple currencies, commodities, or a basket of assets. This contains rules for both issuers and CASPs. Offering or trading in stablecoins on platforms is restricted to those that have MiCA authorization and an approved whitepaper. Stablecoin issuers must adhere to specific requirements based on the type of token, which include marketing restrictions, managing conflicts of interest, governance arrangements, rules around reserve composition and management. Oversight is generally national, but where EMTs/ARTs are deemed significant (if they meet at least 3 of the following criteria: >10 million holders in the EU, >5 billion market cap, > 500,000 transactions or >100 million EUR daily payments transaction value,) oversight is centralised in the European Banking Authority (EBA). Stricter requirements will apply to these issuers. A key prohibition is the payment of interest to holders.



Building trust in blockchains

About Chainalysis

Chainalysis is the blockchain data platform, making it easy to connect the movement of digital assets to real-world services. Organizations can investigate illicit activity, manage risk exposure, and develop innovative market solutions with deep blockchain data insights. Our mission is to build trust in blockchains, blending safety and security with an unwavering commitment to growth and innovation. For more information, visit www.chainalysis.com.

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